

Fearnleys Dry Bulk Market Outlook

Jun 26, 2026

SUMMARY AND OUTLOOK

In our previous update sent in late May, we wrote:

No major changes to the outlook since early April. Demand growth remains above supply growth, but has fallen during the last few months. Global credit growth rates keep falling, primarily due to lower loan growth in China. Iron ore inventories in China have been drawn down but remain high. However, industrial metals prices have rebounded sharply since late March, reflecting that global industrial activity is not in a downturn just yet. However, the surging oil prices are starting to have its usual bearish impact, with cost increases and eroding margins being reported, not only due to direct energy cost increases, but also because freight rates are higher, due to bunker prices. The brewing El Nino could, along with the lower supply of fertilisers, pose a problem for grain crops over the next year. So, we still have the view that a market downturn is likely to begin in Q3, and that 2027 earnings averages will be lower than this year. Increasing coal demand should cushion some of the weakness likely to come from other commodity groups. However, seaborne supply remains an issue. Otherwise, the soon-to-be-announced Guinean Bauxite export curbs will be important for the outlook going forward.

We think there are clear signs that the upcycle is losing momentum. Shipment volume growth has kept trending down, with data through May showing the rate of volume growth had dropped below the rate of supply growth for all segments, except Capesize/Newcastlemax. Ton-time growth is still above supply growth in all segments, which is why the markets remain higher than they were 1 year ago. However, we still expect that to change, as we expect shipment volume growth to continue trending down through the second half of this year.

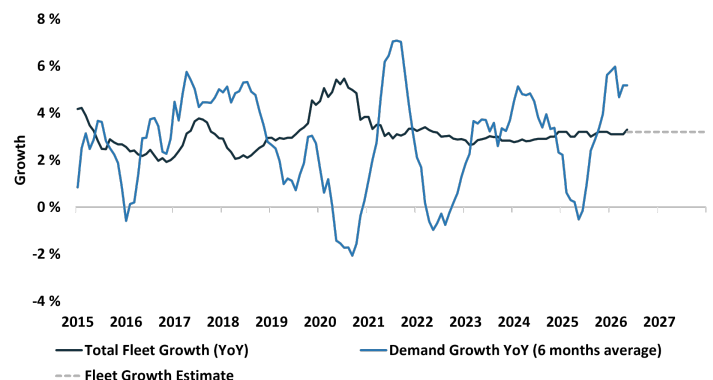
Since our previous report, **oil prices** have dropped significantly. Based on the correlation between oil prices and BDI, included, as usual, in the final page of this report, the outlook for the second half of 2027 has thus improved considerably. That said, the volatility in energy markets and the complicated physical fundamental situation are unusual, so leading indicators like the one we use might not be as accurate as previously going forward. Regardless, the point is that low oil prices are good for economic growth, and vice versa. **Coal** volume growth has increased notably in the last few months. An opening of the Strait of Hormuz is a relief for macro but suppress the upside potential in coal. **Industrial metals** prices have fallen over the last month, suggesting that global industrial activity is struggling to maintain upward momentum and may even be declining. That is especially the case in China, where **iron ore** and steel consumption remain lower than last year, and inventories remain higher. Global credit growth rates continue to fall, as reflected by a strengthening **US dollar index**. The dollar index correlates tightly with dry bulk volume growth and clearly suggests volume growth will continue to fall in the next few months.

In the second half of last year, the Capesize index averaged about 30.000 USD pd, the Kamsarmax index averaged about 16.000 USD pd, the Ultramax index averaged about 17.250 USD pd, and the Handysize index averaged about 14.000 USD pd. The way we see fundamentals now, we find it hard to expect higher averages than that in the second half of this year.

Earnings Forecasts 26 and 27

Year	BCI5TC	BPI5TC	BSI11TC	BHSI 7TC
2026	25–30 USD pd	15–17 USD pd	16–18 USD pd	13–15 USD pd
2027	20–25 USD pd	12–15 USD pd	12–15 USD pd	10–13 USD pd

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Fleet Statistics (In Million DWT)

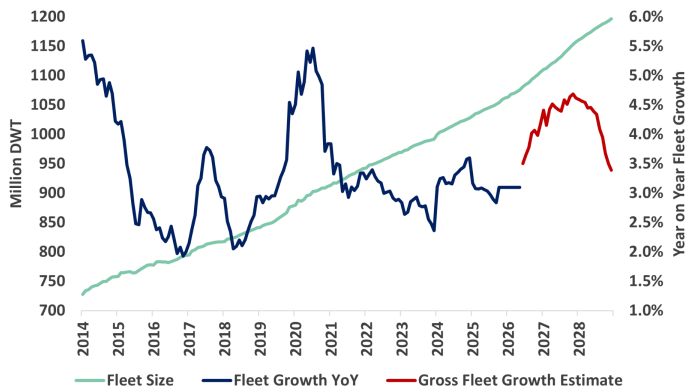
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Umx	Handy
2025					
Deliveries	36	7.2	9.9	13.1	5.8
Scrapping	3.7	1	1.3	0.1	1.1
Fleet Growth	3.0%	1.9%	3.3%	5.2%	4.1%
2026 YTD					
Deliveries	20.9	3.4	7.9	6.7	2.9
Remaining on Schedule	25.1	6.6	8.6	7	2.9
Scrapping	0.5	0.6	0.5	0.1	0.7
YoY Fleet Growth (Jun)	3.3%	1.8%	3.8%	5.5%	3.1%





Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



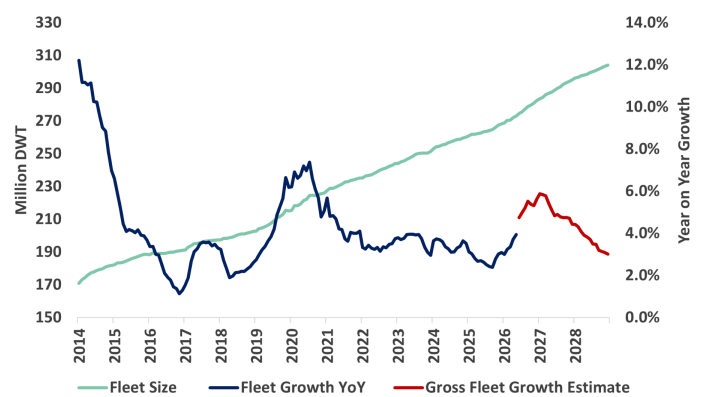
Cape/Newc Fleet Growth Including Estimate



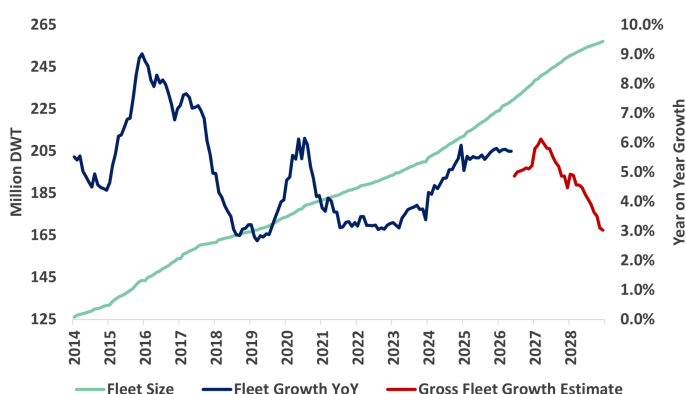
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

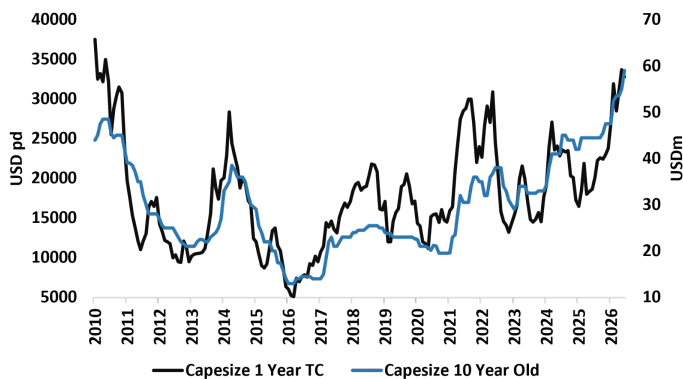
In our previous report in late May, we wrote

"Values have generally ticked up a bit further since our previous report. Some vintages we assess a bit higher in value than the 2024 peak. We think further upside from here is highly limited, with sideways movement most likely over the next 2-3 months."

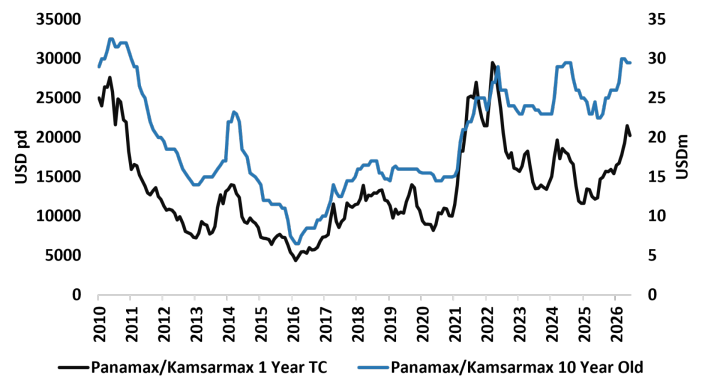
Values have risen above the heights of 2024, following the development in 1-year TC rates. Further value increases now are hard to expect, given the correction in chartering markets. Newbuilding prices keep increasing, and going forward, the next year and a half, we do not see any major change to the general asset value situation/regime. If we are correct that chartering markets are in for a weaker period, the downside should be limited to the lows seen last year.

In the case of Capes and Newcs, the situation is different and more complicated. As values kept climbing last year despite lower average earnings than in 2024, comparisons are harder to make. Capes/Newcs values have tracked the longer end of the futures curve in the last 5 years, so it seems a significant change has to happen there for there to be a significant change to values.

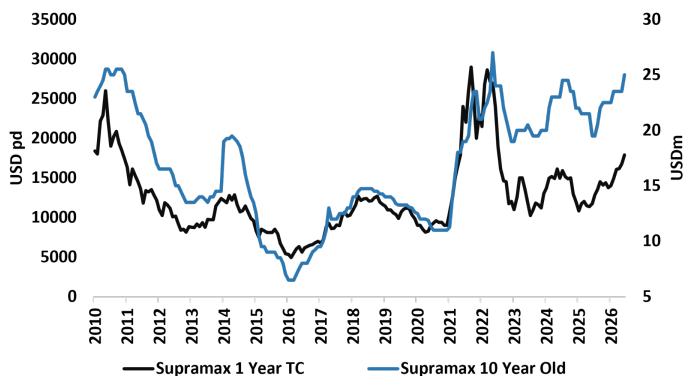
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



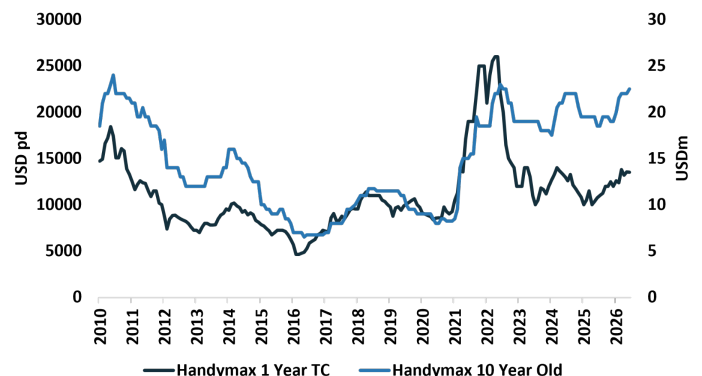
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



Asset Values vs Commodity Prices

April monthly:

*The faltering momentum in industrial metals prices suggest the peak in asset values is near.

The below charts shows the preceding 6 months change in the price of copper, with a 6 months lead of the preceding 6 months change of asset values.

This displays that asset value momentum usually lags the prices of copper (and other industrial metals).

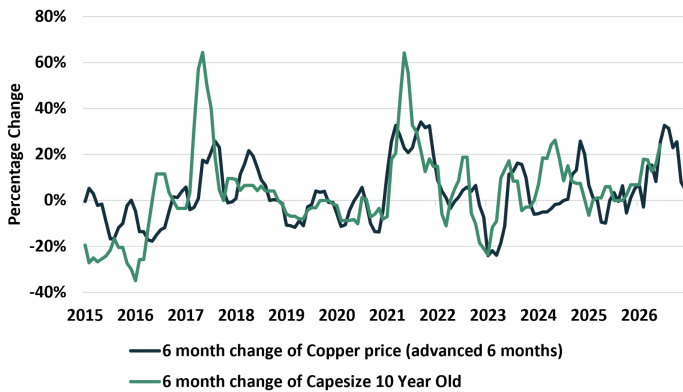
These charts now indicate a peak in values could be seen around the middle of this year (**May-July** is most likely based on historical correlations).

May Monthly:

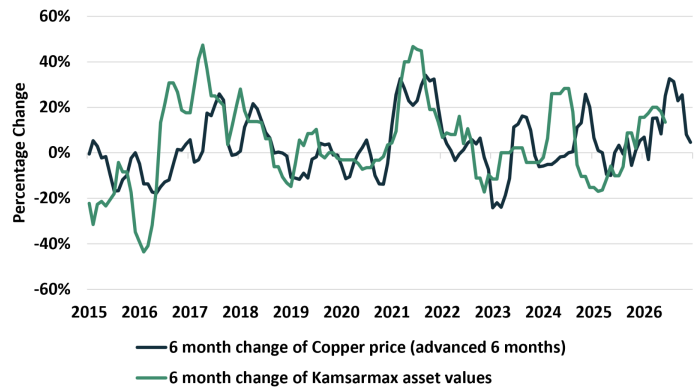
The charts below still suggest the peak in values will likely be between this month and July.*

No change to the views given in the last few months.

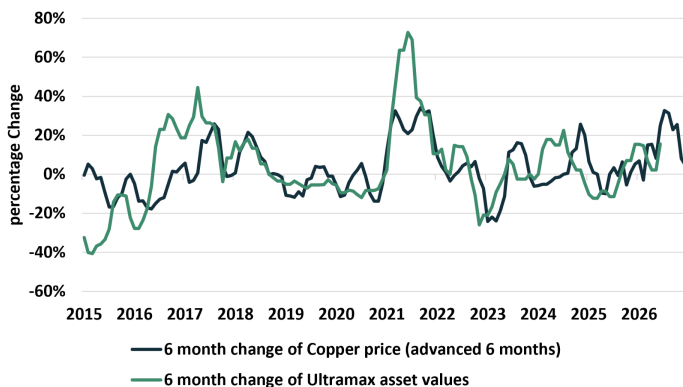
Copper Price 6 Months Change (Lead 6 Months) vs Capesize 10 Year Old



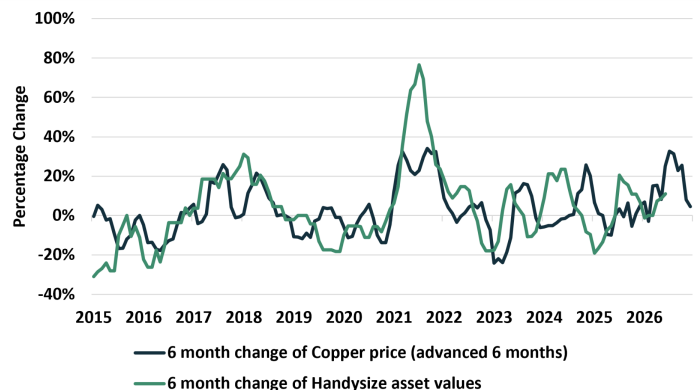
Copper Price 6 Months Change (Lead 6 Months) vs Kamsarmax 10 Year Old



Copper Price vs Supramax 10 Year Old



Copper Price vs Handysize 10 Year Old





TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Feb-25	-6%	-12%	-10%	8%	-4.2%
Mar-25	1%	-6%	-4%	14%	2.6%
Apr-25	1%	-6%	-6%	8%	1.0%
May-25	4%	-12%	1%	9%	0.6%
Jun-25	1%	-10%	-2%	7%	-0.9%
Jul-25	4%	2%	7%	12%	6.3%
Aug-25	5%	-2%	10%	5%	4.4%
Sep-25	4%	0%	20%	8%	5.1%
Oct-25	14%	-3%	-1%	3%	4.6%
Nov-25	6%	-3%	9%	8%	4.5%
Dec-25	12%	3%	21%	11%	9.2%
Jan-26	10%	0%	14%	7%	7.5%
Feb-26	7%	-1%	11%	4%	6%
Mar-26	-8%	-3%	12%	-3%	-3%
Apr-26	7%	7%	19%	9%	7%
May-26	0%	10%	16%	6%	4%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Feb-25	-7%	-2%	Feb-25	-10%	0%	9%
Mar-25	-2%	5%	Mar-25	-7%	-1%	10%
Apr-25	0%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	6%
Jul-25	3%	8%	Jul-25	-1%	9%	-3%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	19%	0%
Oct-25	14%	0%	Oct-25	0%	6%	6%
Nov-25	0%	7%	Nov-25	3%	15%	0%
Dec-25	12%	7%	Dec-25	6%	4%	6%
Jan-26	11%	6%	Jan-26	10%	2%	9%
Feb-26	9%	3%	Feb-26	6%	13%	3%
Mar-26	-3%	-2%	Mar-26	6%	-10%	10%
Apr-26	11%	6%	Apr-26	-5%	-17%	14%
May-26	4%	5%	May-26	4%	-12%	16%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tell us. Overall, an increasingly bearish picture is being painted from the second half of this year and through the first part of 2027.

Top left chart:

The BDI year-on-year change has been strongly positive since September last year, as usual, lagging behind increased credit growth in China.

However, the credit growth rate has continued to fall over the last few months and has been negative for the last two months, which gives us a clear bearish indication for late this year and the start of 2027.

Top right chart:

Except for a decoupling in 2024, the change in bond yields in China and the US has been a good leading indicator for dry bulk demand growth. Strong support for demand growth this year is suggested, but also a potential peak. Demand growth seems to have peaked according to what was suggested by this leading indicator.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

Lower oil prices suggest the BDI could remain positive year-on-year throughout 2026. However, the increase in oil prices since late February suggest the market will be lower during the first half of next year, but the recent oil price drop suggests the market might recover in the second half of next year.

Middle right chart:

The OECD diffusion index momentum keeps falling, and suggest the year on year change of the BDI will turn less and less positive over the coming six months.

Bottom left chart:

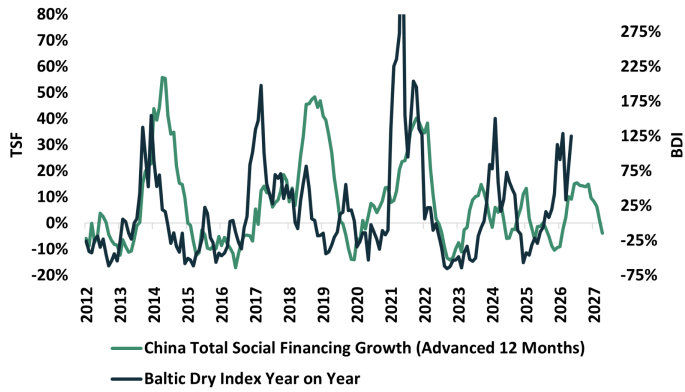
The OECD diffusion index correlation with the BDI is very high, as usual. The OECD index reading is comparable to previous cycle peaks. The latest reading in May showed a drop in the index - the first month-on-month drop since the spring of last year.

Bottom right chart:

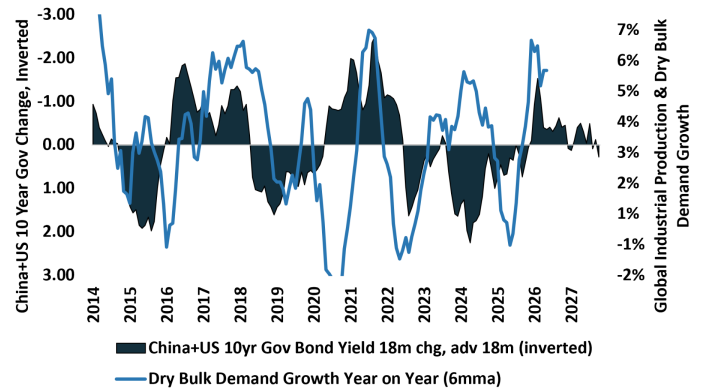
The weakening dollar momentum has stalled in the last few months, along with what seems to be peak volume growth rate. Recently, the dollar has started to strengthen, suggesting volume growth will continue falling.



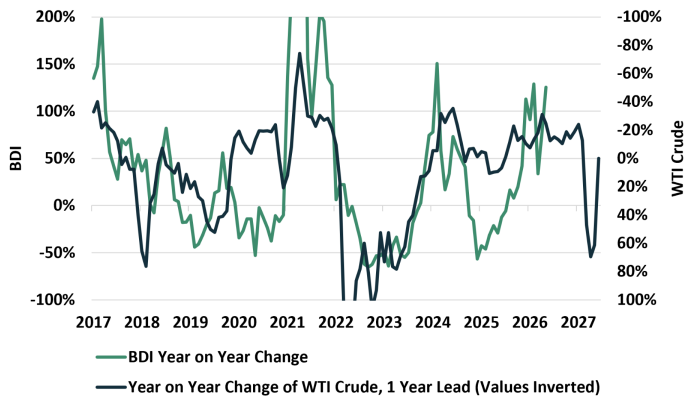
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



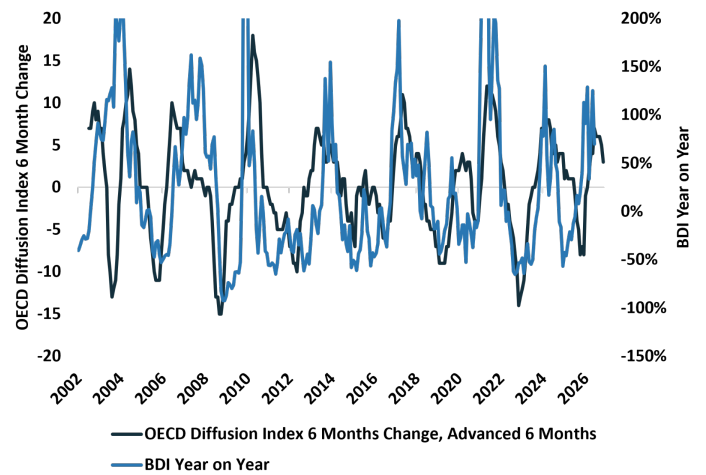
China + US Gov Bond Yield Change, 18 Months Lead. vs Dry Bulk Demand Growth



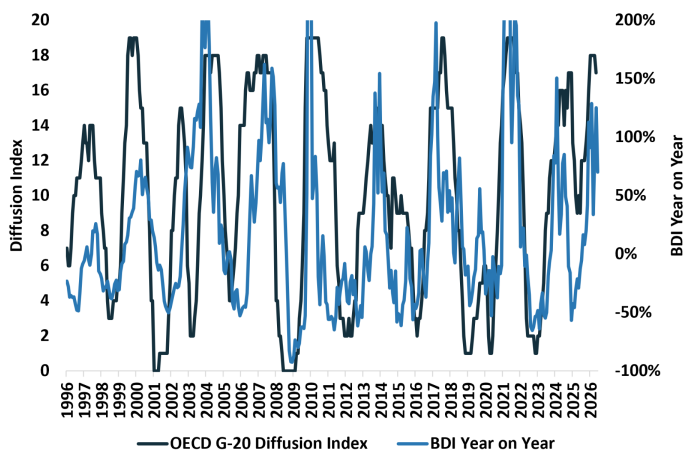
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



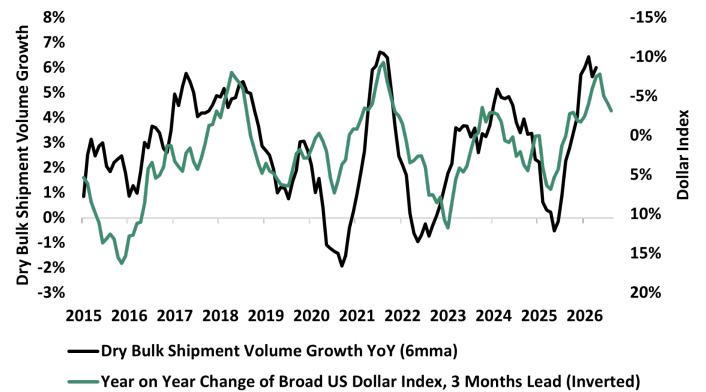
OECD Diffusion Index 6 Months Change vs BDI YoY



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company